MODULE 5 – THE COMPETITION ACT, 2002

Main Questions

Question 1 (C2) (SM) (4M) (Dec 2017 Old PQ)

Discuss objects of the Competition Act, 2002.

Answer

The Objectives of the Competition Act, 2002

a) Prevent anti-competitive practices.
b) Promote and sustain competition.
c) Protect the interests of the consumers.
d) Ensure freedom of trade.
e) Competition advocacy by creating awareness among various levels at Government, industry and consumers.

The objectives of the Act are achieved through the Competition Commission of India (CCI), which was set up by the Central Government on 14th October 2003

Question 2 (C4) (7M) (MQP June 2024) (5M) (June 2017 Old PQ)

Discuss Anti-Competitive Agreement and its types.

Answer

As per Section 3, No enterprise or association of enterprises or person or association of persons shall enter into any agreement in respect of production, supply, distribution, storage, acquisition; or control of goods; or provision of services, which causes or is likely to cause an appreciable adverse effect on competition within India. Any agreement entered into in contravention of the above shall be void.

Agreements may be classified either as horizontal agreements and vertical agreements.

Horizontal Agreements: Agreements between competitors at the same level of production chain.

Vertical Agreements: Agreements between enterprises at different levels of the production and distribution chain.

Horizontal Agreements which are treated as an appreciable adverse effect on Competition:

Any agreement entered into or decision between enterprises or persons or associations, including cartels, engaged in identical or similar trade of goods or provision of services, which:

b) directly or indirectly determines purchase or sale prices;
c) limits or controls production, supply, markets, technical development, investment or provision of services;
d) shares the market or source of production or provision of services by way of allocation of
e) geographical area of market, or type of goods or services, or number of customers in the market or any other similar way;

f) directly or indirectly results in bid rigging or collusive bidding,

shall be presumed to have an appreciable adverse effect on competition.

Vertical agreements which are treated as an appreciable adverse effect on the competition:

Any agreement amongst enterprises or persons at different stages or levels of the production chain in different markets, in respect of production, supply, distribution, storage, sale or price of, or trade in goods or provision of services, including –

a) Tie-in arrangement: any agreement requiring a purchaser of goods or services, as a condition of such purchase, to purchase some other distinct goods or services.
b) Exclusion dealing agreement: an agreement that restricts a buyer or seller from dealing in goods or services other than those of the other party (or another specified person)
c) Exclusive Distribution Agreement: any agreement to limit, restrict or withhold the output or supply of any goods or allocate any area or market for the disposal or sale of the goods;
d) Refusal to Deal: any agreement which restricts, by any method the persons or classes of persons to whom goods are sold or from whom goods are bought;
e) Resale Price Maintenance: any agreement to sell goods on condition that the prices to be charged on the resale by the purchaser shall be the prices stipulated by the seller unless it is clearly stated that prices lower than those prices may be charged.

shall be an agreement which causes or is likely to cause an appreciable adverse effect on competition in India.

Leniency programme: is a protection to those who come forward and submit information honestly, who would otherwise have to face stringent action by the Commission if existence of a cartel is detected by the Commission on its own. It is based on the principle of fair competition for greater good.

Certain agreements are exempt from these restrictions:

a) Protection of intellectual property rights.
b) Agreements related exclusively to the export of goods from India.

Question 3 (C5) (8M) (June 2023 PQ) (4M) (Dec 2024 PQ) (SM) (7M) (MQP Dec 2024 Set 2)

Discuss "Abuse of Dominant position" and "predatory pricing" under Competition Act, 2002.

(or)

What is Understood by 'abuse of dominant position' as per the provisions of the Competition Act, 2002?

Answer

Dominant Position: means a position of strength, enjoyed by an enterprise, in the relevant market, which enables it to,

a) operate independently of competitive forces; or
b) affect its competitors or consumers.

No enterprise or group shall abuse its dominant position. Abuse of a dominant position can take several forms:

a) Imposes unfair condition or price in the purchase or sale of goods or services, or
b) limits or restricts—

(i) production of goods or provision of services or market therefor; or

(ii) technical or scientific development relating to goods or services to the prejudice of consumers;

c) Engaging in practices that resulting in denial of market access, or

d) Using a dominant position to enter into one market or protect a position in another market.

Predatory Price: means the sale of goods or provision of services, at a price which is below the cost, as may be determined by regulations with a view to reduce or eliminate competition.

Question 4 (C6) (SM) (7M) (MQP Dec 2024 Set 1)

What is "combination" under the Competition Act, 2002? How are they regulated?

Answer

Combinations: The Acquisition of one or more enterprises by one or more persons or Merger or Amalgamation of enterprises.

Conditions for Combination :

a) Acquisition of Control: When a person gains control over an enterprise while already controlling another competing enterprise.

b) Thresholds for Combination:

(i) Individual:

- Combined assets in India: should be more than ₹ 2,500 crores.
- Combined turnover in India: should be more than ₹ 7,500 crores.
- Combined assets (global): should be more than US $ 1.25 billion (with at least ₹ 1,250 crores in India).
- Combined turnover (global): should be more than US$ 3.75 billion (with at least ₹ 3,750 crores in India).

(ii) Group:

- Combined assets in India: should be more than ₹ 10,000 crores.
- Combined turnover in India: should be more than ₹ 30,000 crores.
- Combined assets (global): should be more than US $ 5 billion (with at least ₹ 1,250 crores in India).
- Combined turnover (global): should be more than US $ 15 billion (with at least ₹ 3,750 crores in India).

Regulation of Combinations:

No person or enterprise can enter into a combination that could adversely affect competition in the relevant market in India. If such a combination occurs, it will be considered void.

a) any person or enterprise, proposing to enter into a combination, shall, give notice to the Commission, in the form as may be specified, and the fee determined, by regulations, disclosing the details of the proposed combination, ~~within 30 days~~ [Amended under the Competition (Amendment) Act, 2023, after any of the following, but before consummation of the combination of]

- The board of directors approving a merger or amalgamation proposal.
- The signing of any agreement or document related to an acquisition.

b) No combination shall come into effect until:

- ~~210 days~~ [Amended under the Competition (Amendment) Act, 2023, 150 days] have passed from the day on which the notice has been given to the Commission or

- The Commission has passed orders under section 31,

Whichever is earlier.

Penalties: Failure to give notice to the Commission about the combination, may result in a penalty of up to 1% of the total turnover or assets or value of such transaction, whichever is higher, of the combination

Question 5 (C6) (SM)

You are CFO of ABC India Limited, a large steel parts manufacturing company in India with turnover of more than US$ 1 billion and turnover of more than US$ 2 billion. Negotiation for take-over of a foreign company is going on, whose turnover for last financial year was US$ 3.5 billion and assets of 1.5 billion US$. Company wants to know the steps to be taken in case the negotiation succeeds. Please advise your company.

Answer

In the given case, ABC India Ltd is to acquire a foreign company whose turnover for last financial year was US $3.5 billion and assets of US $ 1.5 billion. The combined assets of both the companies, has exceeded the threshold limit of combination under the Competition Act, 2002, that is - asset of US$ 1.25 billion and turnover of US$ 3.75 billion for the combined entity, therefore requires CCI approval. Here, the procedure is as follows.

a) The binding documents are to be signed, which will be done with the approval of Board or shareholders, whatever may be the case. Here binding documents means agreement to invest or any other undertakings.
b) Notice must be filed after any of the following but before completion of the combination:
   (i) Approval of the proposal by the Board of Directors, or
   (ii) Signing of any agreement/document for acquisition
c) CCI may go for primary inquiry and form an opinion on the notice.
d) CCI may communicate acceptance or ask for clarification thereafter.
e) If no communication is received within 150 days, the proposal shall be deemed to have been approved and the company may proceed forward.

Question 6 (C8) (4M) (Dec 2023 Old PQ) (SM)

Write short notes on – Procedure for investigation of combinations.

(or)

Discuss in brief, the role of Director General of Investigation of CCI.

Answer

a) Where the Commission is of the prima facie opinion that a combination is likely to cause appreciable adverse effect on the competition in India it shall issue a notice to show cause to the parties of combination calling upon them to respond within 15 days of the receipt of the notice. As to buy investigation of such combination should not be conducted.
b) After receipt of the response of the parties, the Commission may call for a report from the director general and report shall be submitted by the director general within such time as the Commission may direct.
c) The Commission, if it is prima facie of the opinion that the combination has an appreciable adverse effect on competition, it shall,

- Within 7 days from the date of receipt of the response of the parties, or
- the receipt of the report from Director General called, whichever is later,

direct the parties to publish details of the combination within 7 days of such direction, for informing the public and persons affected or likely to be affected by such combination.

d) The Commission may invite the public, affected or likely to be affected by the said combination, to file their written objections, if any, before the Commission within 10 days from the date on which the details are published.
e) The Commission may within 7 days from the expiry of the above period call for any additional information required from the parties of combination.
f) The additional information shall be furnished by the parties within 10 days from the expiry of the period mentioned in (e).
g) After receipt of all information, the Commission shall proceed to deal with the case in accordance with Section 31 or as the case may be .
h) If no prima facie case exists, the matter is closed, and the Commission passes appropriate orders.

Question 7 (C11) (7M) (MQP June 2025) (MQP Dec 2023) (SM)

Analyse the duties and powers of the competition commission of India.

Answer

The Competition Commission of India (CCI) is the regulatory authority responsible for enforcing competition laws in India. It was established under the Competition Act, 2002, to promote fair competition, prevent anti-competitive practices, and protect consumer interests. Competition Commission of India is a body corporate headquartered at New Delhi.

The Commission shall follow the principles of natural justice and regulate its own procedure in accordance with the Act and Rules. It has powers similar to a Civil Court.

General Duties

a) The Commission shall eliminate practices with adverse effects on competition.
b) It shall Promote and sustain competition.
c) The Commission is responsible for Protecting consumer interests.
d) It shall ensure freedom of trade for all participants in the market.

Inquiry Powers

a) The Commission may initiate inquiries on its own or based on information received from any person, consumer, or association.
b) It can also inquire based on references from the Central or State Government or statutory authorities.

Question 8 (C13) (4M) (June 2024 PQ), (3M) (Dec 2023 Old PQ), (5M) (June 2018 Old PQ)

Discuss about the powers of the Competition Commission of India to order division of enterprise enjoying dominant position.

(or)

Upon an inquiry made by the Competition Commission of India it was found that Heavy Limited is enjoying dominant position in the market and there is every possibility that the company may abuse its dominant position. In order to overcome such a possible situation, the Competition Commission

of India wants to order for division of Heavy Limited. Referring to the provisions of the Competition Act, 2002, describe the matters which may be provided in the said order.

Answer

Powers of the Competition Commission of India to order division of enterprise enjoying dominant position. The Commission may, direct division of an enterprise to ensure that such enterprise does not abuse its dominant position because of its size. The order may provide for all or any of the following matters, namely: —

a) the transfer or vesting of property, rights, liabilities or obligations.
b) the adjustment of contracts.
c) the creation, allotment, surrender or cancellation of any shares, stocks or securities.
d) the formation or winding up of an enterprise.
e) amendment of the memorandum of association or articles of association
f) any other matter which may be necessary to give effect to the division of the enterprise.
g) The payment of compensation to any person who suffered any loss due to dominant position of such enterprise.

Question 9 (C15) (7M) (Dec 2023 PQ) (June 2025 PQ)

Enumerate the Penalty for Offences in relation to furnishing of information under Competition Act, 2002

Answer

As per Section 45 of the Competition Act 2002,

if a person, who furnishes or is required to furnish, under this Act any particulars, documents or any information,

a) makes any statement or furnishes any document which he knows or has reason to believe to be false in any material particular, or
b) omits to state any material fact knowing it to be material, or
c) Wilfully alters or destroys any document which is required to be furnished as aforesaid,

such person shall be liable to a penalty which may extend to ₹ 1 crores as may be determined by the Commission. The Commission may, if it is satisfied, impose a lesser penalty, if any person has made a full and true disclosure in respect of the alleged violations.

Lesser penalty shall not be imposed by the Commission if the person making the disclosure does not continue to cooperate with the Commission till the completion of the proceedings before the Commission.

The Commission may, if it is satisfied that such producer, seller, distributor, trader or service provider included in the cartel had in the course of proceedings,

a) not complied with the condition on which the lesser penalty was imposed by the Commission, or
b) had given false evidence, or
c) the disclosure made is not vital

and thereupon such producer, seller, distributor, trader or service provider may be tried for the offence with respect to which the lesser penalty was imposed and shall also be liable to the imposition of penalty to which such person has been liable, had lesser penalty not been imposed.

Additional Questions

Question 1 (C3) (2M) (Dec 2018 Old PQ)

Whether a person purchasing goods not for personal use, but for resale can be considered as a "consumer" under the Competition Act, 2002.

Answer

It is not necessary that a person must purchase the goods for personal use in order to be considered as a "consumer" under Competition Act 2002. Even a person purchasing goods for re-sale or for any commercial purpose will also be considered as a "consumer" within the meaning of the under the Competition Act, 2002.

Question 2 (C4) (3M) (Dec 2019 Old PQ)

An understanding has been reached among the manufacturers of cement to control the price of cement, but the understanding is not in writing and it is also not intended to be enforced by legal proceedings. Examine whether the above understanding can be considered as an 'Agreement' with the meaning of Section 2(b) of the Competition Act, 2002.

Answer

'Agreement' includes any arrangement or understanding or action in concert:

(i) Whether or not, such arrangement, understanding or action is formal or in writing or

(ii) Whether or not such arrangement, understanding or action is intended to be enforceable by legal proceedings.

In view of the above and understanding reached by the cement manufacturers to control the price of cement will be an 'agreement' within the meaning under the Competition Act, 2002 even though the understanding is not in writing and it is not intended to be enforceable by legal proceedings.